

Once you know the asset classes, the question arises as to how much money to invest in which investment vehicle or asset class. This completely depends on your risk appetite²⁶ and the time period in which you are looking at the return on your investment. How you divide your investments between stocks (shares) and bonds, equity and debt, and low rate of return vs high rate of return – is the single most important concept for building a secure retirement plan. Over the years, you need different types of investment vehicles to reach your goals, and you need them in different proportions.

Portfolio asset allocation (also called asset allocation) is an investment planning technique that allows you to get the right balance between risk and return by investing through a variety of investment tools that you will study in the next chapter. Remember, that there is no specific rule of thumb on portfolio asset allocation, though there are many theories on how to allocate your money to different asset classes. Though you can understand a few industry models on portfolio asset allocation, but this process of allocating your assets in different proportions to make your custom portfolio is absolutely your personal choice.

Asset allocation is a method of investment planning that aims to maximize the returns for any given level of risk, or reduce the risk for any given level of return, by allocating capital to different types of assets in suitable proportions. It is based on observations showing that different asset classes have very typical patterns of returns and price variations over long periods of time.

To make asset allocation work for you, all you really need is a little common sense, and that's it.

Warren Buffett, the world's richest investor and second richest man, has said many times that he thinks 'high school math' is the most any investor needs, and that the more complicated the math, the less useful for the investor.

The right way to use asset allocation is to keep it simple. Common sense is right — picking great investments is what will make you rich. What asset allocation will do is prevent you losing a lot of money through over-